

Pacific Crest Apartments

330 W I Street, Encinitas CA 92024



Investor Disclosures

Firm Overview

VisionWise Capital ("Firm") specializes in buying, operating, and selling real estate investments, providing due diligence, and managing investment portfolios.

Investment Philosophy and Strategy

Our approach to real estate placements involves thorough research and due diligence. We seek opportunities that align with our core values and investment goals, focusing on properties that demonstrate strong growth potential and sustainable value creation.

Nature of Real Estate Investments

Real estate investments involve acquiring ownership stakes in real property. These investments are typically illiquid, meaning they cannot be easily sold or exchanged. Investors should be prepared to hold these investments for an extended period, often several years. Real estate investments may include residential, commercial, or industrial properties.

Risks Associated with Real Estate

Investing in real estate involves significant risks, including but not limited to:

- Illiquidity: Investments cannot be easily sold or transferred.
- Market Risks: Economic conditions can affect the performance of real estate markets.
- Management Risks: The success of real estate investments depends on the management and operation of the properties.
- Valuation Risks: Determining the value of real estate can be subjective and may not reflect actual market conditions.
- Regulatory Risks: Changes in laws and regulations can impact the performance and strategy of investments.
- Property-Specific Risks: Issues such as property damage, maintenance costs, and tenant vacancies can affect returns.

Conflicts of Interest

The Firm is committed to acting in the best interest of our investors.

However, potential conflicts of interest may arise, including:

- Compensation Structures: Different compensation structures for different investments may influence recommendations.
- Affiliated Entities: The Firm may have relationships with entities involved in the investments we recommend.

We disclose all potential conflicts of interest and take steps to mitigate their impact on our clients.

Investor Suitability and Due Diligence

We conduct thorough due diligence on all real estate opportunities and assess the suitability of each investment for our clients. This includes evaluating the location, financial health, management team, and market potential of the properties. Each investor is expected to be an Accredited Investor in accordance with SEC regulations and is responsible for understanding the associated risks.

Investor Responsibilities

Investors are responsible for understanding the risks associated with real estate investments and ensuring that such investments align with their financial goals and risk tolerance. We encourage clients to review all documentation and seek independent tax and financial advice if necessary.

Regulatory Compliance

The Firm complies with all applicable laws and regulations governing real estate placements. We maintain records of all transactions and provide regular reports to clients.

Contact Information

For further information or any questions regarding this disclosure, please contact:

VisionWise Capital
27525 Puerta Real Suite 300-164
Mission Viejo, CA 92691
info@visionwisecapital.com (949)
441-5580

Executive Summary

Performance Overview:

Projected Deal Level IRR: 21.9%

Purchase Price: \$13.15MM

Minimum Investment: \$100,000

Projected Hold Period: 24-30 Months

Deal Level Equity Multiple: 1.51x

VisionWise Capital is pleased to present you with a direct ownership interest in the Pacific Crest Apartments, a resort-style apartment property overlooking the Pacific Ocean in Encinitas, CA. This investment, once renovation has been completed, will generate cash flow to each investor, while offering substantial upside in value appreciation.

Pacific Crest is a 21-unit apartment building with oceanfront views. Your ownership interest will share in the full tax benefits of real estate ownership, while all of the renovation work and property management is implemented by VisionWise Capital and its tenured team of professionals.

Pacific Crest is truly a “trophy asset” with generational ownership appeal. Constructed in 1960, this is the first time the property has been on the market in 20+ years. It is a legacy asset. The location is irreplaceable. Real estate with these exclusive qualities are rarely available for sale.

From inception, Pacific Crest will provide above-average cash flow with current rents averaging over \$3,900 per month. With this, and the orchestrated tenant shuffle that we apply to maintain occupancy during renovation, we reduce the investment risk of needing additional capital post close.

VisionWise Capital has a 10-year track record of having performed the same enhancements with over \$200 million of apartment properties. We are unwavering in our core values of “staying in our lane” of renovating and managing SoCal apartments with 1950 – 2000 construction, being process-driven, and measuring everything for continuous improvement. With 47 vendors, two-deep in every necessary trade, the high-end luxury upgrades we will install in Pacific Crest will drive rents of over \$4,600 per month, as is being demonstrated today in neighboring upgraded apartment properties.

Deal Structure

Waterfall:

1

Distribute to the Investor Members proportionally to cover their unreturned Capital Contributions

2

Distribute to the Investor Members proportionally to cover their unpaid First-Out Return:
10% up to 24 months
12% for 25 months and beyond

3

Distribute any remaining cash as follows:
50% to Investor Members based on ownership percentages
50% to Managing Member

Management Fee Structure:

One-time acquisition fee:

2% of the property's purchase price

One-time disposition fee:

0% of the property's gross sale price

Monthly management fee:

1/12 of 2% of the total Capital Contributions as of the last day of the previous month

Loan guarantee fee:

0.5% of any loan guaranteed by the Managing Member or its affiliates

Loyalty Benefits - Existing Investors*:

55% to the Investor Members

45% to the Managing Member

Large Investment Benefit (\$500K+)*:

55% to the Investor Members

45% to the Managing Member

*Investors should thoroughly read the operating agreement and subscription agreement before making an investment

*The Loyalty Benefits & Large Investment Benefit is applicable for capital contributions made on or before 09/01/2024.

Why This Investment

Strong Applicant Flow

With income property, an attractive location will often drive strong applicant flow. This leads to upward pressure on rental rates and minimal vacancies. The cliffside location of Pacific Crest and the attractiveness of Encinitas will ensure a steady influx of tenant applications, reducing the risk of loss experienced in less desirable locations.

Investment Protection

Substantial rental income upside of 28% will drive valuation at completion. The local rental market has multiple examples of two-bedroom rents ranging from \$4,600 to \$5,050 in comparably tired condition. The more recently renovated units of comparable size are currently achieving rents of \$5,400 per month. The data clearly represents the achievability of our targeted monthly rental rates post-renovation, which represents more reliable monthly cash flow that will increase over time.

Ample Parking

True to any coastal property, parking can be a nightmare. The Subject property is overparked, with 21 residential units and 22 parking spaces. Professionals and families have an improved quality of life when finding a place to park their automobiles is not a daily decision.

Ease of Investing

As with all our investments, and for all our Investors, VisionWise Capital handles all aspects of the Property Management and Renovation completion. From pulling permits, to upgrading the interior and the exterior of each unit, to attracting and retaining residents using long term leases; every detail is managed for you, allowing you to passively enjoy the benefits of income property and its tremendous after-tax returns.

Competitive Pricing

Originally listed at \$15.5 million, the price was reduced twice before we went under contract at a price nearly \$2.5MM lower, less than \$650,000 per unit. In the meantime, adjacent and to the south of the Subject Property, a similarly sized condominium unit is currently listed for sale at \$ 2.5 million.

Summary:

Strong Applicant Flow: High rental demand

Investment Protection: Reliable cash flow

Ample Parking: Convenient parking

Ease of Investing: Hassle-free management

Comparative Pricing: Competitive purchase price

Property Overview



Summary:

Purchase Price: \$13,150,000

Year Built: 1960

Total units: 21

Rentable Sq. Ft.: 18,340

Lot Size: .65 Acres

\$/Unit: \$626,190

\$/Sqft: \$717

Details:

Breathtaking location

21 two-bedroom units

Cliffside deck and pool

22 Onsite Parking Spaces

Newly Landscaped

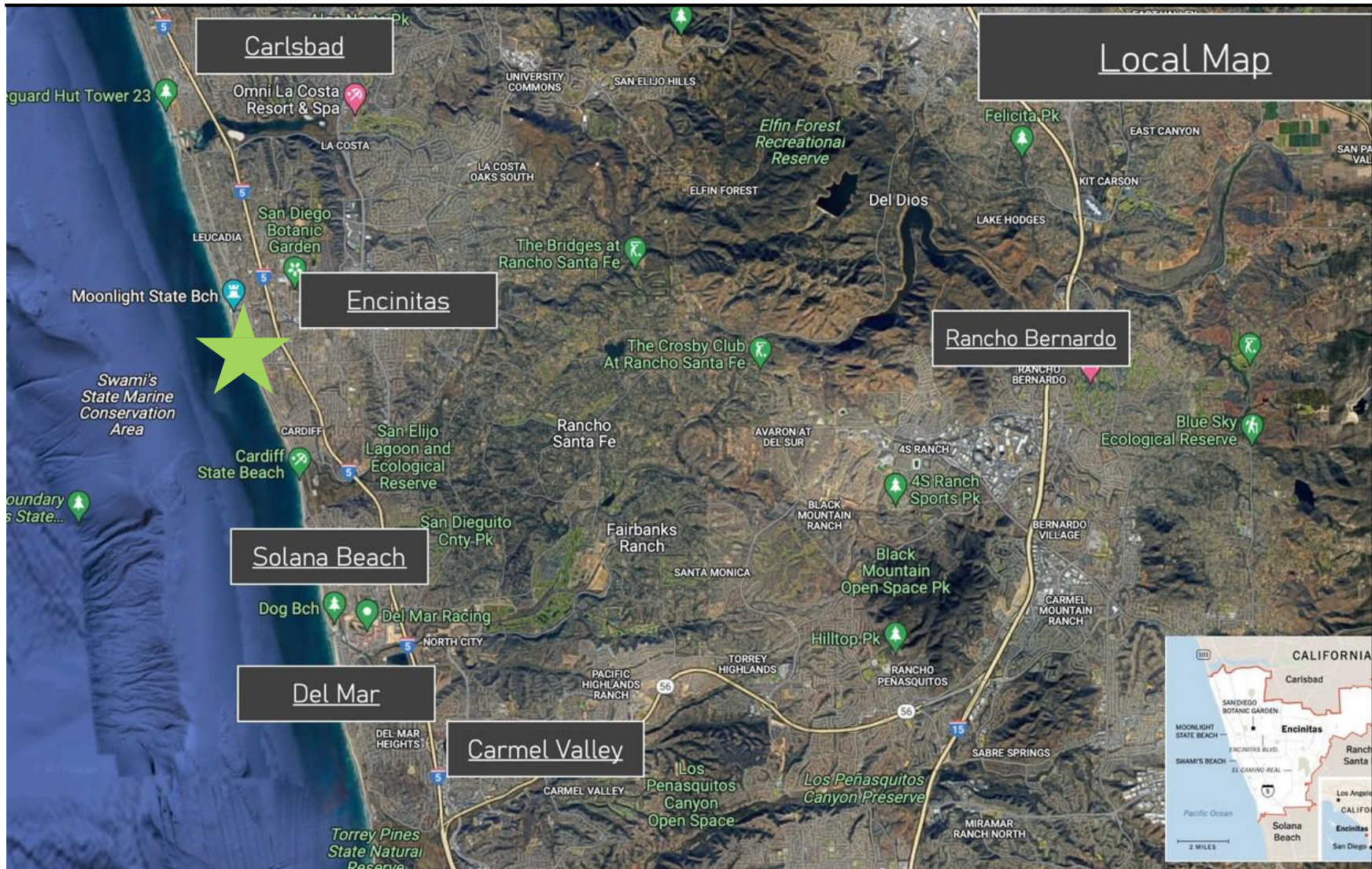
Near Downtown Encinitas



Breathtaking Views



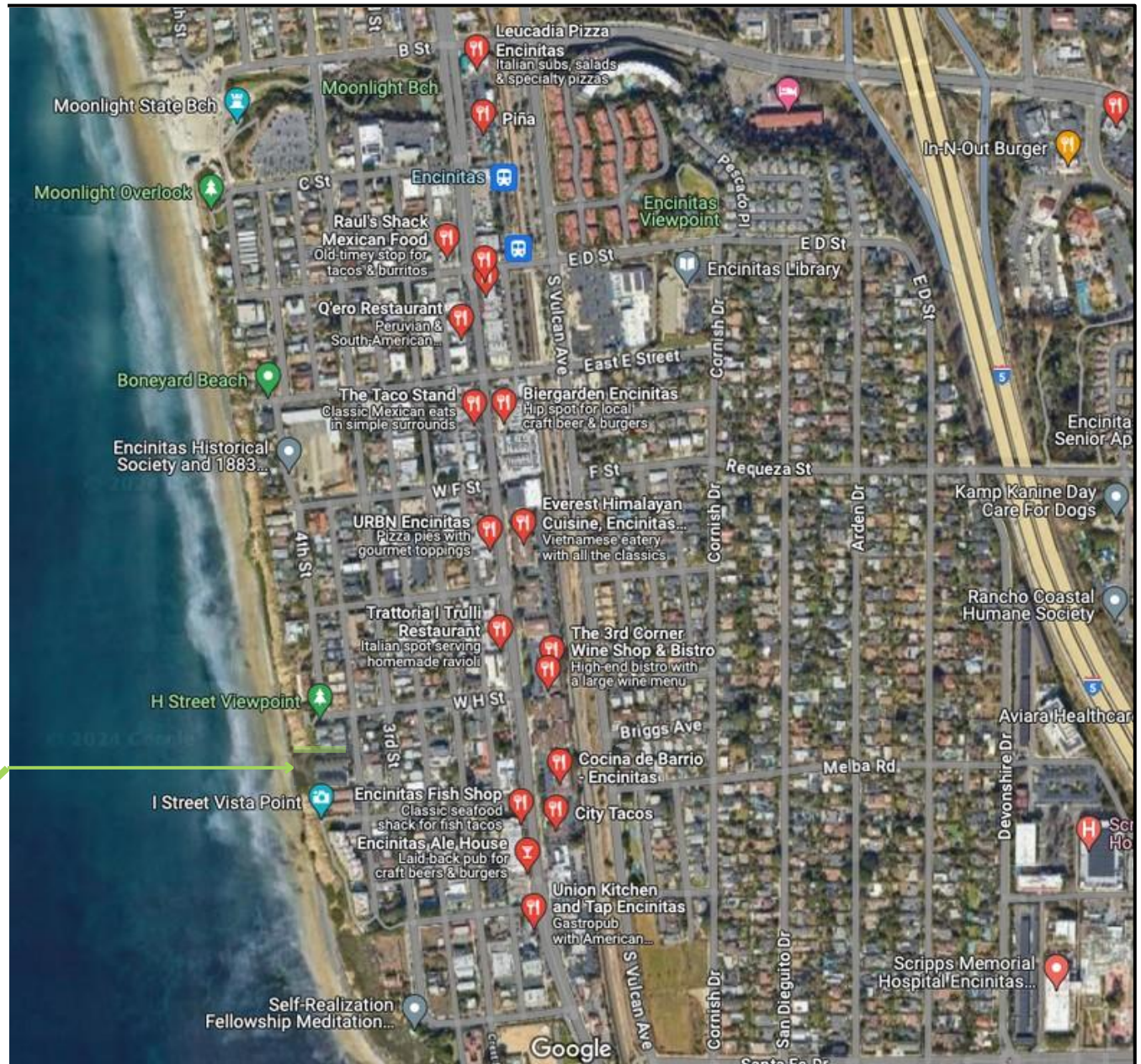
Property Location



Downtown Encinitas

Nestled in the heart of Encinitas, 330 West I Street offers unparalleled convenience with its prime location. Located between Moonlight Beach and Swami's Beach, and just a short stroll from the vibrant Downtown Encinitas, residents can easily explore an array of wonderful shopping options, trendy new restaurants, lively bars, and charming boutiques. This idyllic setting combines the best of coastal living with the excitement of a bustling urban environment, making it the perfect place to call home.

Property
Location



Sale Comps

	PROPERTY ADDRESS	PROPERTY CITY	SALE PRICE	NUMBER OF UNITS	SIZE	SALE STATUS	PRICE PSF	PRICE PER UNIT	SALE DATE
	1405 N Vulcan Ave	Encinitas	\$4,460,000	6	6,092	Sold	\$732	\$743,333	5/13/2024
	215 Lolita St	Encinitas	\$2,735,000	5	1,840	Sold	\$1,486	\$547,000	9/20/2023
	2517 El Camino del Norte	Encinitas	\$4,028,000	6	6,930	Sold	\$581	\$671,333	5/1/2023
	136 E Jason St	Encinitas	\$2,750,000	5	4,140	Sold	\$664	\$550,000	4/17/2023
	131 Diana St	Encinitas	\$5,500,000	12	9,900	Sold	\$556	\$458,333	10/6/2022
	330 W I St *	Encinitas	\$13,150,000	21	18,500	Escrow	\$711	\$626,190	Escrow
	843 - 851 4th St	Encinitas	\$6,930,000	10	9,500	Sold	\$732	\$693,000	7/18/24

*Subject Property

Current Rent Roll

Immediate Upside:

Average rents are currently \$3,900 per unit, with a clear path to increase to \$4,600 to \$5,200 per unit through VisionWise Capital's luxury upgrades. This translates to an impressive 28% rental rate upside.

UNIT	TYPE	SIZE SF	CURRENT RENT	MARKET RENT
1	2/1.00	861	\$3,895	\$4,600
2	2/1.00	861	\$4,395	\$4,600
3	2/1.00	861	\$3,600	\$4,600
4	2/1.00	861	\$4,095	\$4,600
5	2/1.00	861	\$4,695	\$4,600
6	2/1.00	861	\$3,715	\$4,600
7	2/1.00	861	\$3,695	\$4,600
8	2/1.00	861	\$4,400	\$4,600
9	2/1.00	861	\$3,695	\$4,600
10	2/1.00	861	\$4,400	\$4,600
11	2/1.00	861	Vacant	\$4,600
12	2/1.00	861	Vacant	\$4,600
13	2/1.00	861	\$3,800	\$4,600
14	2/1.00	860	\$3,600	\$4,600
15	2/1.00	861	\$3,940	\$4,600
16	2/1.00	861	\$3,995	\$4,600
17	2/1.00	861	\$3,695	\$4,600
18	2/1.00	861	\$3,444	\$4,600
19	2/1.00	861	\$2,160	\$4,600
20	2/1.00	861	\$4,995	\$4,600
21	2/2.00	1,124	\$5,030	\$5,500
TOTALS	21 Units	18,343	\$75,244	\$97,500

Financial Summary

Value Proposition:

Bank Debt: Low at 54% LTC

Average Daily Temperature: 72 Degrees

Walkable: To Downtown and Beach

	CURRENT	STABILIZED
Cap Rates:	4.77%	6.60%
Cash on Cash:	0.50%	3.9%
Net Operating Income (NOI):	\$626,676	\$867,692
Estimated 24 Month Market Value:	\$13,150,000	\$18,887,900

INCOME	CURRENT	STABILIZED - MARKET
Gross Potential Rent	\$ 924,360	\$ 1,184,400
Other Income	\$ 7,200	\$ 7,200
Vacancy	\$ (27,731)	\$ (35,532)
Total Revenue	\$ 903,829	\$ 1,156,068
EXPENSES	CURRENT	STABILIZED - MARKET
Special Assessment	\$ 1,636	\$ 1,636
Taxes	\$ 138,673	\$ 138,673
Insurance	\$ 22,925	\$ 22,925
Utilities	\$ 22,140	\$ 22,140
OnSite Manager	\$ 13,901	\$ 13,901
Management	\$ 36,153	\$ 47,376
R&M	\$ 21,000	\$ 21,000
Contract Services	\$ 10,894	\$ 10,894
Misc	\$ 4,581	\$ 4,581
Reserves	\$ 5,250	\$ 5,250
Total Expenses	\$ 277,153	\$ 288,376
Net Operating Income	\$ 626,676	\$ 867,692
Debt Service	\$ (589,000)	\$ (589,000)
Cash Flow	\$ 37,676	\$ 278,692

Value-Add Strategy:

To maximize the value of the location, we propose transforming it into a premier destination for luxury living. Our plan includes:

- Luxury updates to the interior of 15 units
- Resort-style renovations to the deck and pool area
- Upgraded BBQ area, fire pit, and lounge with ocean views
- Adding a rooftop deck above the two-bedroom coastal unit for panoramic ocean vistas

By combining upscale interiors with exceptional outdoor amenities, we aim to position our complex as the ultimate coastal living destination, attracting discerning tenants seeking luxury.

Capital Improvements:

ITEM	COST
Interior	\$636,750
Exterior	\$392,000
Contingency	\$51,438
Misc./Reserves	\$102,875
Total	\$1,183,063
CAPEX/Unit	\$56,336

INTERIOR	UNITS	PERUNIT	TOTAL
2 B x 1 BA (unrenovated)	15	38,950	584,250
2 B x 1 BA (renovated)	5	-	-
2 B x 2 BA	1	52,500	52,500
Total Interior	21	30,321	636,750

Projected Returns

Performance Forecast:

Projected Investor ROI: 27.9%

Rental Upside: 18.4%

Time Line: 24-30 months

Projected Investor IRR: 13.1%

DEAL LEVEL RETURN

Year	Year 0	Year 1	Year 2
Unlevered Cash Flow	\$(14,844,000)	\$609,404	\$19,020,139
Debt Contribution	\$7,750,000	-	-
Amortization	-	-	-
Interest	-	\$(589,000)	\$(589,000)
Repayment	-	-	\$(7,750,000)
Total Levered Cash Flow	\$(7,094,000)	\$20,404	\$10,681,139
Cumulative Return	\$(7,094,000)	\$(7,073,596)	\$3,607,544
Deal Level Return		0.29%	150.57%

LP \$100,000 INVESTMENT

Year	Year 0 (Purchase Year)	Year 1 (Renovation)	Year 2 (Projected Exit)
Initial Investment	(\$100,000)		
First Out Investor Return			\$10,000
Return of Equity			\$100,000
Investor Profit			\$17,927
Return on Investment (ROI)			\$127,927

CASH FLOW

Year	Year 0	Year 1	Year 2
Total Gross Income	\$931,560	\$1,191,600	\$1,227,348
Vacancy Loss	\$27,947	\$293,819	\$36,820
Effective Gross Income	\$903,613	\$897,781	\$1,190,528
Estimated OpEx	\$277,153	\$288,376	\$302,795
NOI	\$626,460	\$609,404	\$887,732
NOI Growth Rate	--	--	45.7%
Margin	--	67.9%	74.6%

Visionwise Capital - Placing Commercial Real Estate Within Your Reach

Visionwise Capital is a private real estate investment firm founded in 2013 by Sanford Coggins, CEO. Since its inception, VWC has acquired and improved more than 300 multifamily units and continues to be one of the most active real estate operators in the mid-market multifamily Southern California market.

Disclaimer:

This investment summary is for illustration purposes only. All information, though not guaranteed, is deemed to be true and correct at the time of publishing. Prospective investors should carefully read the Private Placement Memorandum, Operating Agreement and Subscription Agreement, as well as speak to your tax professional before investing. For more details, please contact (949) 441-5580.

sanford@VisionWiseCapital.com

www.VisionWiseCapital.com